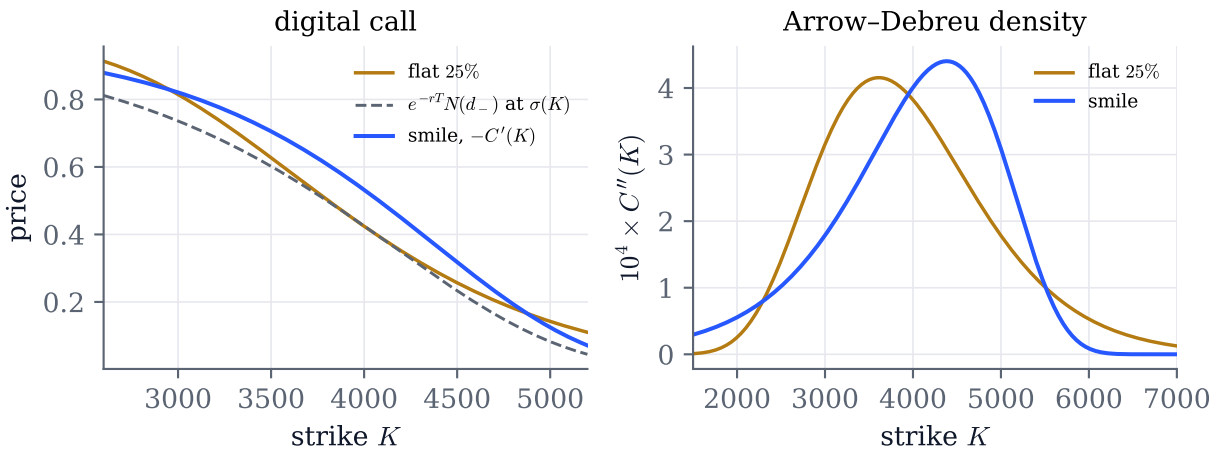
digital call
price
0.8
0.6
0.4
0.2
3000
3500
4000
4500
5000
strike K
flat 25%
$e^{-rT}N(d_-)$ at $\sigma(K)$
smile, $-C'(K)$
Arrow–Debreu density
$10^4 \times C''(K)$
4
3
2
1
0
2000
3000
4000
5000
6000
7000
strike K
flat 25%
smile